

FTX and the Collapse of Trust: Legal and Ethical Failures in Cryptocurrency

Victor Bazet-Braun

The College of New Jersey

BUS 200

Professor Monika Mastellone

April 7, 2025

FTX was one of the largest and most promising platforms for cryptocurrency exchanges. (Reiff). In November 2022, it went through a catastrophic collapse after many investors decided to sell FTT, their cryptocurrency created by Sam Bankman-Fried, the CEO of FTX. (Ibid). The company had a great reputation for innovation, reliability and trust in the world of cryptos and Sam was considered the “crypto’s white knight, swooping in to save some of the startups struggling with cryptos.” (Roberts). However, FTX was actually using customer funds to support Alameda Research, another cryptocurrency trading firm and quantitative hedge fund founded by Sam Bankman-Fried in 2017, leading to one of the biggest financial scandals in recent history after transferring billions of dollars in customer deposits to Alameda Research. (Dale). This downfall revealed not only a massive financial mismanagement but also deep ethical failures at the highest levels of leadership, as the CEO of FTX would use this money for high-risk trades, personal expenses, and political donations. (DOJ, 2024). This unauthorized use of customer funds violated several federal laws, such as wire fraud, conspiracy to commit fraud, and money laundering. (Ibid). In December 2022, the U.S. government brought civil and criminal charges against Sam Bankman-Fried and his FTX associates for misappropriating over \$8 billion in customer deposits. (Reiff).

The ethical issues in this case go even deeper. Customers trusted the platform with their assets, believing their funds were being safe and held separately and some people invested a really large amount of their savings, and saw most of it disappear from one day to another. (Novak). FTX's internal operations were the opposite of its public image, which was based on transparency and trustworthiness. Their commercials were marketing FTX as the safest way to buy cryptocurrency, but the company's actions contradicted that message. (FTX Commercial). The leadership acted with a lack of accountability and failed to implement basic financial controls, misleading the investors and the public about the company's financial situation. These

actions violate many business ethics, especially concerning self-dealing, as only a few people in FTX knew about what was happening, and were acting in their own interest looking for short term results, to the detriment of the business and the long-term growth of the company.

(Butcher). Honesty, responsibility, and respect for stakeholders and investors were completely forgotten in this environment. Compared to several frauds that happened before, the ethical aspect of this one is different, as Sam Bankman would also give millions in campaign donations to Democrats running for Congress. (Navarro). Using other people's money for a political change is a misuse of trust and power from customers and investors for personal and political gain.

FTX's collapse also revealed broader systemic issues. CoinDesk, a news site specializing in cryptocurrencies, reported that most of Alameda's balance sheet consisted of FTT tokens. (Rooney). After this announcement, the CEO Binance, one of FTX's competitors, threatened to sell his FTT token, causing the price to crash. (Ibid). This chain of events sparked a run on the exchange, with customers withdrawing roughly \$5 billion before FTX paused withdrawals. (Ibid). When customers went to pull their money out, FTX didn't have the funds. (Ibid). Although Binance briefly signed a letter of intent to acquire FTX, it backed out after reviewing the company's finances, further accelerating FTX's collapse. (Ibid). This rapid sequence of events shows how public statements in the crypto industry can have a huge impact on the stability of the market and on the confidence from consumers.

FTX's response to the liquidity crisis was ineffective and made the situation even worse. Instead of being transparent with customers and investors, the company paused withdrawals without explanation. (Godoy) Sam Bankman-Fried initially reassured the public on Twitter by saying "FTX is fine. Assets are fine" but within days, FTX filed for bankruptcy. (Ibid). Internally, they had no contingency plan as they were working "without key financial and risk personnel

including chief financial officers, chief risk officers, or a global controller” and the FTX team kept trying to hide the true extent of the financial hole. (Protos). Rather than taking corrective action, such as securing funding or alerting customers about the risks, the company denied wrongdoing until it was too late. The lack of regulatory oversight in the cryptocurrency industry has allowed FTX to operate without sufficient external control. While traditional financial institutions are subject to routine audits, capital requirements, and investor protection laws, FTX operates in a largely unregulated environment, and “the absence of audited financial statements for Alameda, as later revealed in bankruptcy filings, should have been bright red flags early on.” (FTX Case Study). This regulatory gap created opportunities for abuse and deception. It also left thousands of customers being exposed to devastating losses with little recourse and many of them were retail investors. “The focus for restitution has been on the top 50 FTX investors, but there are about a million much smaller investors that are really going to get hurt.” (Dumas). Despite warnings from industry experts such as Terry Duffy, the CEO of the financial firm CME group, who suspected corruption after his first meeting with Sam Bankman, the company continued to operate as if it were exempt from financial accountability, which contributed to the scope of the damage. (Landsman).

The consequences of the FTX collapse were widespread. Customers lost billions of dollars, trust in the crypto industry was severely damaged, and other companies tied to FTX faced financial distress. (Dale) Furthermore, the scandal intensified the public's concern about the volatility and safety of digital assets. (Ibid). Also, as new crypto currencies projects and ideas are gaining in popularity and can be useful for the society, FTX has degraded public confidence towards the crypto market by reinforcing public skepticism and perceptions of fraud. (Ibid). It also raised questions about how much responsibility trading platforms should bear for protecting their users and investors. The incident became a call to action for governments and

regulators around the world to enforce strict controls and ensure investor protections in the rapidly growing crypto economy. (Carter). The lack of oversight illustrated the urgency of establishing clear frameworks that prevent similar events from recurring.

To prevent similar failures and scams in the future, several reforms and changes are necessary. First, cryptocurrency exchanges must be subject “to strict regulations about how they treat customer assets, how they interact with customers, and whether they can preference themselves or their affiliates to trade against or front-run customers.” (Frew). There are rules for securities, and the same rules should be applied to cryptocurrencies. This includes regular audits, separation of customer and company funds, and stronger internal oversight. Then, companies should be required by the law to share clear and accurate information to their customers and stakeholders more often than they currently do. Transparency should be an expectation for every company, not an option. Finally, executives should be held accountable for any breaches of trust, in both the legal and ethical context, through clear enforcement and strong penalties. (Reiff). Moreover, regulatory bodies like the SEC and CFTC need to collaborate to eliminate gaps in oversight and jurisdiction. A few weeks after the FTX collapse, Rostin Behnam, the chairman of the CFTC, urged Congress to create a new regulatory framework for digital assets. (Caires). An international agency that can regulate companies and their transactions may also be beneficial due to the borderless nature of digital assets. (Garetson).

There are also ethical lessons to be learned. Leaders in financial technology must cultivate a culture of accountability and integrity. Even in the innovative field of cryptocurrency, ethical issues can have the same consequences as criminal ones. By emphasizing ethics in corporate governance and by developing new mechanisms to report unethical practices, companies can build trust with their employees, investors, and consumers. (Butcher). An

education about financial investments and the risks associated with digital currencies should also be expanded so consumers can make decisions based on knowledge. Institutions of higher learning, media, and financial platforms should collaborate to improve public understanding of these complex financial products. (Ibid).

In sum, the FTX scandal is a great example of what happens when legal and ethical standards are ignored in the business world. The collapse of this company not only exposed a criminal behavior by Sam Bankman-Fried and his associates, but also showed the dangers of operating without oversight in a financial system that affects millions of people. This case is a reminder that any innovation without accountability can be just as dangerous as any other type of fraud. By implementing new reforms and rules, increasing transparency, and demanding for accountability from leaders of the company, we can ensure that such failures do not repeat and that trust in the crypto industry can be rebuilt. Lessons learned from FTX must inform future regulations, business practices, and public education if we hope to responsibly harness the potential of blockchain and decentralized finance.

References

- Butcher, Daniel. "Ethical Failure Led to the FTX Scandal | IMA." *IMA*, 16 Jan. 2024, www.sfmagazine.com/articles/2024/january/ethical-failure-led-to-the-ftx-scandal.
- Caires, Elizabeth. "Digital Assets Regulation in 2023: Is a New Regulatory Framework Finally Emerging? | DLA Piper." *DLA Piper*, 2023, www.dlapiper.com/en/insights/publications/2023/01/the-cftc-and-a-congressional-framework-for-regulation-of-digital-assets
- Carter, Shanida. "The Significance and Consequences of the FTX Crypto Collapse." *Rutgers Law*, 13 Dec. 2022, law.rutgers.edu/news/significance-and-consequences-ftx-crypto-collapse. m
- Dale, Brady. "FTX Trial: Alameda Was Using Billions in Customer Funds Well before the Crisis, Witness Says." *Axios*, 12 Oct. 2023, www.axios.com/2023/10/12/ftx-sam-bankman-fried-alameda-caroline-ellison.
- Dumas, Breck. "FTX's Small Investors Biggest Losers in Fallout: Former FDIC Chair Bair." *Fox Business*, 23 Nov. 2022, www.foxbusiness.com/markets/ftxs-small-investors-biggest-losers-fallout-fmr-fdic-chair-bair.
- Frew, Holly. "Robinson's Take: The Rise and Fall of Crypto Billionaire Sam Bankman-Fried - Georgia State University News - Faculty/Research, Robinson College of Business -." *Georgia State News Hub*, 20 Oct. 2023, news.gsu.edu/2023/10/20/bankman-fried/.
- FTX. "All 3 Tom Brady FTX Commercial | FTX Tom Brady and Gisele Bundchen." *YouTube*, 21 Nov. 2022, www.youtube.com/watch?v=aCGMyFn-8.
- Garetson, Adam, et al. "Global Framework for Digital Asset Regulation: Financial Stability Board Releases Final Recommendations." *Gowlingwlg.com*, 31 July 2023, gowlingwlg.com/en/insights-resources/articles/2023/global-framework-for-digital-asset-regulation
- Godoy, Jody. "'FTX Is Fine' - Tweets Sam Bankman-Fried May Regret on the Stand." *Reuters*, 26 Oct. 2023, www.reuters.com/world/us/ftx-is-fine-tweets-sam-bankman-fried-may-regret-stand-2023-10-26/.
- "FTX Case Study: Lessons on Governance and Risk Management." *Zyanza*, 20 Sept. 2024, www.zyanza.com/post/ftx-case-study-lessons-on-governance-and-risk-management.
- Landsman, Stephanie. "CME Group CEO Calls Bankman-Fried 'an Absolute Fraud,' Says He Saw Trouble Months Before FTX Collapse." *CNBC*, 23 Nov. 2022, www.cnbc.com/2022/11/23/absolute-fraud-cmes-terry-duffy-says-he-saw-trouble-before-ftx-collapse.html

Navarro, Aaron. "Sam Bankman-Fried Donated over \$40 Million in the 2022 Election Cycle. Where Did It Go?" *Www.cbsnews.com*, 15 Dec. 2022, www.cbsnews.com/news/ftx-sam-bankman-fried-political-donations-2022/.

Novak, Matt. "'These Are My Hard-Earned Savings:' 17 User Complaints Show the Human Impact of FTX's Collapse." *Gizmodo*, 4 Jan. 2023, gizmodo.com/ftx-sbf-bitcoin-price-crypto-bankrupt-17-ftc-complaints-1849917506

Reiff, Nathan. "The Collapse of FTX: What Went Wrong with the Crypto Exchange?" *Investopedia*, 10 Oct. 2024, www.investopedia.com/what-went-wrong-with-ftx-6828447.

Roberts, Jeff. "Exclusive: 30-Year-Old Billionaire Sam Bankman-Fried Has Been Called the next Warren Buffett. His Counterintuitive Investment Strategy Will Either Build Him an Empire—or End in Disaster." *Fortune*, 1 Aug. 2022, fortune.com/2022/08/01/ftx-crypto-sam-bankman-fried-interview/.

Rooney, Kate, and Paige Tortorelli. "Sam Bankman-Fried's Alameda Quietly Used FTX Customer Funds without Raising Alarm Bells, Say Sources." *CNBC*, 13 Nov. 2022, www.cnbc.com/2022/11/13/sam-bankman-frieds-alameda-quietly-used-ftx-customer-funds-without-raising-alarm-bells-say-sources.html.

Salmon, Felix. "Mistrust Is Back at the Center of the Cryptoverse." *Axios*, 17 Dec. 2022, www.axios.com/2022/12/17/mistrust-is-back-at-the-center-of-the-cryptoverse

U.S. Department of Justice. "Samuel Bankman-Fried Sentenced to 25 Years for His Orchestration of Multiple Fraudulent Schemes." *Justice.gov*, 28 Mar. 2024, www.justice.gov/archives/opa/pr/samuel-bankman-fried-sentenced-25-years-his-orchestration-multiple-fraudulent-schemes.